



RESULTS FOR QUERY:

Consortium Shortlisting and Industrial Realignment

CREATED

Apr 10, 2026

PAGES

5

RESEARCH URL

[Click to View In GenSearch](#)

AMCA news update in Q1 2026

RESULT FOR QUERY

TABLE OF CONTENTS

1. Technical Breakthroughs and Stealth Integration
2. Engine Procurement and Foreign Collaboration
3. Strategic and Financial Outlook

RESULT FOR QUERY

The first quarter of 2026 has been a transformative period for the **Advanced Medium Combat Aircraft (AMCA)** program, marked by a historic shift in India's defense industrial strategy. The most significant development in Q1 2026 was the formal shortlisting of three private-sector consortia for the prototype development phase, effectively excluding the state-owned **Hindustan Aeronautics Limited (HAL)** from the lead integrator role for the first time in such a major combat platform . ^{[1] [2]}  1 • News  2 • News

Out of AMCA bid - Hindustan Times (4 February) (link) has reported that HAL is out of the AMCA bid process. Of the seven consortia that had submitted an EoI (Expression of Interest) last year, three have met the mandatory criteria after evaluation by a committee. The three qualified bidders will be issued an RFP (Request for Proposal), after which the lowest bidder (L1) will be selected for development of an AMCA prototype. The AMCA prototype development has a budget of Rs150bn and the first flight is expected by FY29. After successful trials, production orders are expected by the mid-2030s. ^[3]

 3 • JP Morgan

Consortium Shortlisting and Industrial Realignment

In February 2026, reports confirmed that the **Aeronautical Development Agency (ADA)** had narrowed the field of seven original bidders down to three primary private-sector groups ^{[4] [5]}  4 • Citi  5 • News

- These groups will now compete for the Request for Proposal (RFP) stage to manufacture five AMCA prototypes . ^[6]  6 • JP Morgan

- **Shortlisted Consortia:**

- **Larsen & Toubro (L&T)** in a 50:50 joint venture with **Bharat Electronics Limited (BEL)** ^[7] .

 7 • JPMorgan Research

- **Tata Advanced Systems Limited (TASL)** , bidding as a standalone lead applicant . ^[8]  8 • News

- **Bharat Forge** in a tripartite consortium with **BEML Limited** and **Data Patterns** ^{[9] [10]} .  9 • Citi

 10 • News

- **HAL Exclusion:** The exclusion of **HAL** from the shortlisting led to a sharp market reaction, with shares falling approximately 8% in early February 2026 . ^[11] Analysts noted that the selection panel discouraged firms with existing large order books (HAL's backlog is roughly 7x its annual revenue) to ensure a dedicated focus on the AMCA's fast-track development . ^[12]  11 • News  12 • News
- **Next Steps:** The ADA is expected to issue the formal RFP to these three bidders by mid-February or the end of Q1 FY26, with the final contract winner for the prototype phase anticipated by the end of FY27 . ^[13]  13 • JPMorgan Research

HAL's exclusion is only from AMCA 1.0, and it will be eligible to bid for mass production stage. HAL's backlog was up 88% YoY in FY25, and we forecast it to reach US\$28bn by FY27, with its US\$3.6bn helicopter order receiving government ok, improving visibility of this order in FY27 itself. It has the strongest pipeline of orders and 14 years of backlog, making it our preferred pick. We see the start of Mk1A fighter deliveries in 2Q 2026, visibility on GE engine deliveries & GE 414 MII production deal as key catalysts. ^[14]

 14 • CLSA

Technical Breakthroughs and Stealth Integration

Q1 2026 saw critical engineering milestones that finalized several aspects of the AMCA's fifth-generation design.

- **Aerodynamic Breakthrough:** In March 2026, engineers at the ADA achieved "near-perfect" airflow efficiency for the AMCA's engine intakes . ^[15] Extensive wind tunnel testing validated a new **S-duct intake geometry** that reached a 98% pressure recovery rate, solving the complex challenge of delivering air to engines while maintaining a radar-evading profile . ^[16]  15  16 • News
- **Stealth-Ready Weaponry:** The **DRDO** accelerated work on a specialized variant of the **Astra Mk2** air-to-air missile featuring folding fins . ^[17] This design allows the AMCA to carry up to six missiles internally, compared to previous estimates of four, preserving the aircraft's stealth characteristics by eliminating the need for external pylons . ^[18]  17  18 • News
- **Material Readiness:** **PTC Industries** achieved a major milestone in late March 2026 by completing trials of a 4,500/5,100-tonne intelligent open die forging system at its Lucknow facility . ^[19] This system allows for the indigenous production of large **Titanium and Superalloy** components required for next-generation aeroengines and airframes . ^[20]  19  20 • Press Release

As per press reports (Economic Times, 4 Feb), the shortlist for the next stage to develop and manufacture jets under the Advanced Multi-role Combat Aircraft (AMCA) programme has been announced. While official confirmation is awaited, as per the press reports, the shortlist includes a) L&T-Bharat Electronics JV, b) Tata Advanced Systems and c) Bharat Forge-BEML-Data Patterns JV out of the 7 consortiums which had submitted expressions of interest. The final winner will be selected from amongst these 3 shortlisted consortia. AMCA program background: AMCA is India's 5th gen, twin-engine, multirole stealth fighter being designed and

developed by the Aeronautical Development Agency (ADA/DRDO) for the Indian Air Force. In March 2024, the programme's design and prototype development phase was approved, with expressions of interest invited in 2025. As per the press report, the shortlisting of the 3 consortia was based on technical expertise, manufacturing capabilities, existing order book and financial strength. Based on the shortlist, ADA is likely to issue the Request for Proposal - the final winner is expected to be decided based on the evaluation of the proposals. The winner will partner with the Aeronautical Development Agency to build 5 AMCA prototypes. Rs150bn has been allocated for the prototype stage. ^[21]

21 • Citi

Engine Procurement and Foreign Collaboration

The propulsion strategy for the AMCA remains bifurcated between an interim solution for Mk1 and a long-term sovereign solution for Mk2.

- **GE F414 Technology Transfer:** As of March 2026, negotiations for a \$1.50 billion deal between **HAL** and **GE Aerospace** for the co-production of **F414 engines** reached their final stages. ^[22] The agreement includes an 80% transfer of technology (ToT), covering advanced turbine blade machining and thermal coatings, with the first domestically built engine targeted for mid-2029. ^[23] 22 23 • Jefferies
- **Safran Joint Venture:** **Safran** continues to be the frontrunner for the 110-140 kN engine intended for the AMCA Mk2. ^[24] ^[25] In February 2026, it was highlighted that the \$7.00 billion co-development deal with **Safran** and the **Gas Turbine Research Establishment (GTRE)** is nearing finalization, promising 100% ToT and full ownership of Intellectual Property (IP) for India. ^[26] 24 26 • News 25 • News
- **Alternate Proposals:** **Rolls-Royce** made a renewed push in early 2026, citing its past experience with the F-35's F136 engine program to demonstrate its capability in supporting a clean-sheet stealth-aligned engine design for the AMCA. ^[27] 27 • News

\$1.5BB F414 Deal Nears for India-US. Negotiations have been completed for the contract that is expected to be signed in March 2026, including an 80% Transfer of Technology related to GE's F414 fighter jet engines. The deal enables Hindustan Aeronautics Limited to absorb critical manufacturing capabilities, including advanced turbine blade machining and thermal coating technologies, with the first domestically-made engine targeted for mid-2029. ^[28]

28 • Jefferies

Strategic and Financial Outlook

The Union Budget for FY27, presented in February 2026, reinforced the program's financial viability through increased capital outlays.

RESULT FOR QUERY

- **Budgetary Support:** The defense capital outlay saw a 10% CAGR over the last decade, reaching its highest level in the last ten years at 29.40% for the FY27 budget . ^[29]  29 • CLSA
- **Prototype Funding:** A total of INR 150.00 billion has been allocated for the development of five prototypes . ^[30] **L&T** and **BEL** have noted that the prototype phase is expected to be "cash neutral" for the developers, leveraging existing ADA infrastructure . ^[31]  30  31 • Citi
- **IAF Strategy:** Due to the stretching timelines of the AMCA—with induction not expected until 2034-2035—reports in April 2026 indicated that the **Indian Air Force (IAF)** is exploring stop-gap measures, including potential co-production of the Russian **Su-57** stealth fighter to address its squadron shortage . ^[32]  32 • News

Citations

- [1] [11] News • Hindustan Aeronautics Ltd • 04 Feb 26 • "HAL share price slides 8%: Why is the PSU defence stock falling? Explained [Mint (New Delhi)]"
- [2] News • Bharat Forge Ltd • 04 Feb 26 • "Tata, LT, Bharat Forge In Fighter Jet Race; HAL Out"
- [3] [6] JP Morgan • Hindustan Aeronautics Ltd • 12 Feb 26 • "Hindustan Aeronautics Ltd : Reiterate Overweight: Attractive Valuation Is An Opportunity; LCA Delivery Is Catalyst."
- [4] [9] [21] [30] [31] Citi • 04 Feb 26 • "India Defense Manufacturing: Shortlist for AMCA Announced, Per Press Reports"
- [5] [8] [10] News • Bharat Forge Ltd • 17 Feb 26 • "DRDO Advances AMCA Stealth Jet Race: TATA, L&T-BEL, And Bharat Forge Consortiums Lead Prototype Bid: Report"
- [7] [13] JPMorgan Research • Larsen & Toubro Ltd • 29 Jan 26 • "Larsen & Toubro Ltd. : Overweight: Firing on most cylinders; very strong order inflows, execution lags a little"
- [12] News • Hindustan Aeronautics Ltd • 04 Feb 26 • "'Private firms shortlisted,' sources say as HAL exits AMCA fighter programme"
- [14] CLSA • 27 Feb 26 • "All Things India (Sales/Trader Patch | Key India Research | Conviction Fundamental Ideas | Kestel - Bits&Pieces)"
- [15] [16] News • 10 Mar 26 • "India Achieves Aerodynamic Breakthrough for AMCA Stealth Fighter Engine Intakes"
- [17] [18] News • Defence Research and Development Laboratory (DRDL) - Naval Science Technology Lab (NSTL) • 10 Apr 26 • "Folding-fin Astra Mk2: India building stealth-ready missile for AMCA and Ghatak – How will it improve strike capability?"
- [19] [20] Press Release • PTC Industries Ltd • 31 Mar 26 • "Aerolloy Technologies Completes Installation and Successful Trials of Advanced 4500/5100 Tonne Intelligent Open Die Forging System for Aerospace-Grade Materials"
- [22] [23] [28] Jefferies • GE Aerospace • 11 Jan 26 • "What's Up with the oG: Q4 Preview, CFM56 Aeroderivative, India F414, T408"
- [24] [26] News • 18 Feb 26 • "Race for 5th, 6th-gen engines: How India is fast-tracking indigenous fighter jet dream, AMCA project"
- [25] [27] News • Rolls-Royce Holdings PLC • 07 Jan 26 • "Rolls-Royce is making a renewed push in India's fighter engine race"
- [29] CLSA • 01 Feb 26 • "India Capex Insights #68 (Is capex growth 9% or 16%)"
- [32] News • Hindustan Aeronautics Ltd • 07 Apr 26 • "HAL Eyes 50% Capacity For Su-57 Co-Production As IAF Seeks Quick Stealth Boost As AMCA Timeline Stretches"

Legal Notices

This content was generated using AI and may contain errors, ambiguities, or outdated information.

AlphaSense does not guarantee the accuracy or completeness of this content.

Users assume full responsibility for any use of or reliance upon any content contained in the service. Users should independently validate all information before using or relying on it.

This content does not reflect the views or opinions of AlphaSense or any of its personnel and does not constitute legal, investment, or other professional advice.

This content is proprietary and protected under copyright and other intellectual property laws. No part of this content may be used in connection with any language models or generative AI systems outside of AlphaSense. Any unauthorized use, including but not limited to the training or fine-tuning of any language models or other AI models, is strictly prohibited.